

Daily Market Report

Wednesday, June 10, 2026 — After Market Close | Singapore

SECTION 1 — Market Summary

Index	Closing Price	Day	1 Week	1 Month	1 Year	52W High	52W Low
S&P 500 (SPY)	737.05	-0.29%	-2.96%	-0.08%	+24.35%	759.57	592.71
Nasdaq 100 (QQQ)	707.83	-1.15%	-5.14%	-0.48%	+35.29%	746.16	523.21
VIX	18.92	-12.04%	+17.88%	+10.06%	+3.05%	31.05	13.47

The S&P 500 (SPY) slipped -0.29% to close at \$737.05 on Wednesday June 10, consolidating after a bruising week that saw the Nasdaq 100 (NDX) shed -5.14% in five sessions, as semiconductor and AI names remain under pressure from stretched valuations and a hawkish rate-hike repricing following May's blowout payrolls of 172,000 versus an 80,000 consensus. Beneath the tech-heavy index surface, however, 9 of 11 S&P sectors closed green today—led by Real Estate (+2.13%) and Materials (+1.62%)—suggesting the broader market is absorbing the AI sector rotation constructively rather than signalling a systemic breakdown.

SECTION 1B — Early Warning

Signal	Status	What It Means
VIX (fear gauge)	GREEN	18.9 — calm
Breadth (sectors up)	GREEN	9/11 sectors green — broad
S&P vs 50-day avg	GREEN	+2.7% vs trend
Consumer confidence	GREY	N/A — set manually in config
10Y Treasury yield	AMBER	4.56%

Overall: **HEALTHY**

SECTION 2 — Stock Spotlights

Micron Technology (MU)

Metric	Value
Closing Price	935.89
Day Change	-1.41%
52W High	1079.57
52W Low	98.18
P/E Ratio	44.2
Dividend Yield	6.0%
Analyst View	strong_buy
Analyst Target	\$804.29 consensus (Benzinga, 29 analysts, June 2026); most-recent cluster \$1,256.67 avg (Wells Fargo, Cantor Fitzgerald, Morgan Stanley, June 8, 2026)
Next Earnings	Jun 24, 2026
Beta (1Y)	2.84

HOLD — Micron trades at \$935.89, well above the Benzinga consensus target of \$804.29 (29 analysts, June 2026) and meaningfully above the S&P Global / StockAnalysis consensus of \$776.23 (44 analysts), suggesting the current price already prices in a strong AI memory supercycle narrative; the 1-year return of +853.24% reflects an extraordinary re-rating that limits near-term upside. Momentum remains structurally positive—entire 2026 HBM supply is sold out, Q2 FY2026 revenue came in at \$23.9B (+196% YoY), and EPS beat estimates by 36%—but the stock sits 13% below its 52-week high of \$1,079.57 and carries a P/E of 44.2x, leaving it vulnerable to any demand disappointment or AI capex pause. Key risk is beta of 2.84: a sector-wide semi selloff (as seen -5.14% NDX this week) can inflict outsized drawdowns, and any softening in DRAM/NAND pricing would rapidly compress the 58% profit margins Micron reported in Q2.

SECTION 3 — AI & Mag 7 Watchlist

Ticker	Company	Price	Day	1 Week	1 Month	1 Year	52W Low	52W High	Beta
NVDA	Nvidia	208.19	-0.22%	-6.57%	-3.26%	+51.54%	137.38	235.74	1.83
AMD	AMD	475.5	-3.02%	-8.83%	+4.46%	+314.82%	114.63	542.52	2.8
AVGO	Broadcom	392.16	-1.12%	-18.57%	-8.80%	+57.68%	244.28	481.57	2.08
GOOGL	Alphabet	364.26	+0.26%	+0.67%	-9.12%	+115.50%	165.19	402.62	1.31
IBM	IBM	277.49	-1.19%	-15.72%	+20.77%	+5.15%	214.64	329.23	1.1
MSFT	Microsoft	403.41	-2.02%	-8.59%	-2.82%	-12.68%	356.77	542.07	0.87
INTC	Intel	107.92	-2.13%	-0.01%	-13.61%	+446.71%	19.31	129.44	2.51
C	Citigroup	134.73	+1.09%	+2.64%	+7.31%	+77.74%	75.8	135.15	1.43
QRVO	Qorvo	97.94	-1.95%	-4.67%	+8.19%	+28.24%	76.02	108.23	1.19
ANET	Arista Networks	152.16	-2.71%	-13.22%	+7.33%	+69.48%	86.25	177.73	2.11
WQTM	Quantum ETF (WQTM)	35.74	-4.04%	-13.47%	+3.61%	+18.01%	23.32	41.31	2.41
GFS	GlobalFoundries	75.26	-2.65%	-11.04%	+1.54%	+109.52%	31.62	89.96	2.01

SECTION 4 — Why Markets Moved

Wednesday June 10 saw the S&P 500 edge down -0.29% to 737.05 while the Nasdaq 100 (NDX) fell a sharper -1.15% to 707.83, continuing the multi-day pivot away from heavyweight AI and semiconductor names that began with a 10% single-day plunge in the Philadelphia Semiconductor Index on June 6. Breadth was unusually constructive given the headline decline—9 of 11 S&P sectors finished in the green, with Real Estate (+2.13%), Materials (+1.62%), and Health Care (+1.26%) leading, while Technology (-1.85%) and Energy (-1.61%) lagged. Most-active names included INTC, MU, AVGO, NVDA, and TSLA, consistent with continued high-volume repositioning in the semiconductor complex.

The catalyst behind the week-long tech selloff is a confluence of three forces: first, Broadcom's failure to raise its AI chip revenue outlook at its late-May earnings call seeded doubt about near-term AI capex; second, May's payroll print of 172,000

—more than double the 80,000 consensus—caused Treasury yields to spike and lifted the probability of at least one Fed rate hike in 2026 to approximately 72% per CME FedWatch, pressuring rate-sensitive growth multiples; and third, lingering skepticism has resurfaced that the AI infrastructure rally for chips and datacenter producers may have been 'overblown,' despite hyperscalers continuing to signal strong infrastructure demand. OpenAI's IPO filing and Anthropic raising private credit simultaneously highlighted that AI monetisation remains concentrated and capital-intensive.

For investors, today's session is a tale of two markets: the NDX remains under technical pressure—down 5.14% on the week and trading 6.8% below its 52-week high of \$746.16—while the equal-weight, defensive rotation story is quietly gaining traction. With VIX at 18.92 (calm), the S&P 500 holding +2.7% above its 50-day moving average, and 9/11 sectors green, this is not a market in panic—it is a market repricing leadership. The critical near-term test is the June 16-17 FOMC meeting, where new Fed Chair Kevin Warsh's messaging on rate hikes could either validate the AI selloff or restore risk appetite. Singapore-based investors should also note the SGD/USD implications: any hawkish Fed surprise would likely strengthen the USD, adding a currency headwind on USD-denominated equity positions.

SECTION 5 — Sector Rotation & Macro

Winners

- Real Estate: **+2.13%**
- Materials: **+1.62%**
- Health Care: **+1.26%**

Losers

- Energy: **-1.61%**
- Technology: **-1.85%**

Macro

- Fed rate-hike risk elevated: Market expectations have shifted to two 25bp hikes over the next 12 months (from zero expected in March 2026), driven by May payrolls of 172,000 that doubled the consensus of 80,000. New Fed Chair Kevin Warsh faces his first credibility test at the June 16-17 FOMC—any hawkish surprise on rates or dot-plot guidance could deliver a second wave of NDX selling.
- 10-year Treasury yield at 4.56% (AMBER signal): The 10Y yield recently spiked above 4.6% before retreating slightly, driven by a combination of inflation risk and growing government debt issuance competing for capital. With the equity risk premium historically thin, a sustained move toward or above 5% would materially raise correction risk across rate-sensitive growth names.

- Energy and Middle East remain the macro wildcard: Brent crude remains above \$100/barrel with the US-Iran ceasefire described as fragile, and geopolitical flare-ups continue. Oil above \$100 creates a dual headwind—margin drag for corporates and inflationary pressure that keeps the Fed's hands tied—making any energy de-escalation the single largest potential upside catalyst for equities into H2 2026.

SECTION 6 — Earnings Calendar

Watchlist stocks verified. Broader NDX dates sourced via web search — confirm before trading.

Company	Ticker	Next Earnings	
Micron Technology	MU	Jun 24, 2026	WATCHLIST
Oracle	ORCL	Jun 10, 2026	
Chewy	CHWY	Jun 10, 2026	
Adobe	ADBE	Jun 11, 2026	
Lennar	LEN	Jun 11, 2026	
Casey's General Stores	CASY	Jun 09, 2026	
Tesla	TSLA	Jul 29, 2026	
Nvidia	NVDA	Aug 26, 2026	
Amazon	AMZN	Jul 30, 2026	
Microsoft	MSFT	~Late Jul 2026 (unconfirmed)	
Alphabet	GOOGL	~Late Jul 2026 (unconfirmed)	
Broadcom	AVGO	~Sep 2026 (FY Q3, unconfirmed)	

SECTION 6B — Opportunity Radar

- **Defensive Sector Rotation — Real Assets & REITs** — With 9/11 S&P sectors green today and Real Estate leading at +2.13%, institutional money is visibly rotating from overextended AI semis into real-asset proxies. The 10Y yield at

4.56% is high but has stabilised, reducing duration headwind for REITs. Citadel Securities flagged that 'clients increasingly want exposure to lagging parts of the index including cyclicals, financials, and rate-sensitive sectors' as geopolitical tensions stabilise. This rotation is nascent and data-supported. (e.g. VNQ)

- **AI Infrastructure Second-Derivative — Networking & Custom Silicon** — Even as broad AI-chip names correct, hyperscaler capex commitments remain intact. Morningstar identified Arista Networks (ANET) as an undervalued technology leader in high-speed switching that is 'misunderstood' by the market. ANET is +7.33% on the month despite a -13.22% weekly pullback, suggesting dip-buyers are active. NDX networking plays are the second-derivative beneficiary of AI data centre build-outs without the direct valuation risk of pure-play semis. (e.g. ANET)
- **Value Financials — Rate-Hike Beneficiaries** — With CME FedWatch pricing a 72% probability of at least one rate hike in 2026, banks and financial services benefit from wider net interest margins. Citigroup (C) is the strongest performer in our watchlist: +1.09% today, +2.64% on the week, +7.31% on the month, and trading near its 52-week high of \$135.15 at \$134.73—a rare constructive technical setup. The broader financial services sector is seeing analyst upgrades as Wall Street banks report strong results. (e.g. C)

The overall posture today is selective BUY on quality and HOLD on AI—do not panic-sell tech, but do not chase the AI semi complex at elevated multiples while a hawkish repricing is underway. The VIX at 18.92 is calm, the S&P holds +2.7% above its 50-day average, and 9/11 sectors are green—these are HEALTHY signals, not distress. However, the 10Y yield AMBER at 4.56%, combined with a 72% probability of a Fed rate hike and the NDX down 5.14% on the week, argues for trimming high-beta (>2.5) AI-momentum positions and rotating into (1) defensive sectors such as Real Estate and Health Care, which rallied today, (2) value-oriented financials like Citigroup that benefit from higher rates, and (3) quality compounders like Alphabet (GOOGL) with lower beta (1.31) and strong 1-year momentum (+115.5%). Cash held in SGD/USD money market funds provides a natural currency and duration hedge given Singapore's elevated interest rate environment. Avoid adding to MSFT, AVGO, and WQTM at current prices given negative or deep-pullback momentum profiles.

SECTION 7 — Stocks to Watch

GOOGL | Price: \$364.26 | **BUY** | Horizon: 5-YEAR

Alphabet is the only major AI platform in our watchlist posting a positive day (+0.26%) and positive week (+0.67%) amid the broad tech selloff, signalling relative strength and underlying demand; its beta of 1.31 provides AI exposure with meaningfully lower volatility than pure semis. With 1-year momentum of +115.5%, a 52-week low of \$165.19, and current price of \$364.26 still 9.5% below the 52-week high of \$402.62, there is technical headroom for further recovery. Over five years, Google Cloud, Waymo, and AI search monetisation provide secular growth runways that justify accumulation on any dip toward the \$340-350 zone.

C | Price: \$134.73 | **HOLD** | Horizon: 1-YEAR

Citigroup is the standout non-tech performer in today's session (+1.09%) and is trading near its 52-week high of \$135.15, up 77.74% over the past year, benefiting directly from a rising rate environment and potential Fed hike cycle; the 1-year momentum and rate-hike tailwind support holding. However, at \$134.73 against a 52-week high of \$135.15, the stock is technically at resistance and largely priced for the good news—hold existing positions but wait for a pullback to the \$120-125 range before adding.

AVGO | Price: \$392.16 | **SELL** | Horizon: EXIT NOW

Broadcom has been the worst performer in our AI infrastructure watchlist this week (-18.57%), compounding a -8.8% monthly decline, triggered by its failure to raise its AI chip revenue outlook at earnings—the very catalyst that sparked the broader semi selloff. With the stock at \$392.16, sitting 18.6% below its 52-week high of \$481.57 and with further technical damage after breaking key support levels, the risk/reward is unfavourable in the near term; exit or significantly reduce positions and consider re-entry only on a confirmed stabilisation with positive AI order flow guidance.

INTC | Price: \$107.92 | **BUY** | Horizon: 5-YEAR

Intel is the contrarian structural recovery story of 2026—up +446.71% over the past year from a 52-week low of \$19.31, with multiple analysts upgrading to Hold/Buy in June 2026 following a 250% YTD move, validating the foundry turnaround thesis as customer wins continue to land. At \$107.92 with a beta of 2.51, this is a high-risk, high-conviction 5-year position for investors who believe the Intel Foundry Services narrative is credible; size appropriately given the elevated beta and be prepared for significant volatility.

ANET | Price: \$152.16 | **BUY** | Horizon: 5-YEAR

Arista Networks has been explicitly identified by Morningstar as an undervalued, misunderstood stock—'the technology leader in high-speed switching'—with a -13.22% weekly pullback creating a compelling entry point into a secular AI networking beneficiary that is structurally insulated from pure-play semiconductor valuation risk. The stock is +69.48% over one year, with a 52-week low of \$86.25, and today's price of \$152.16 represents a 14.4% discount to the 52-week high of \$177.73. Beta of 2.11 warrants position sizing discipline, but the five-year thesis around data centre networking leadership is intact.

SECTION 8 — Market Trends

Today's session reveals a market in controlled rotation rather than panic—the S&P 500 shed just -0.29% while 9 of 11 sectors advanced, suggesting institutional capital is actively redeploying from AI-momentum names into defensive and cyclical beneficiaries. The Nasdaq 100 (NDX) continues to absorb the post-June 6 semiconductor shock, with the -1.15% close and a brutal -5.14% weekly loss reflecting a genuine valuation reset in AI chip names rather than systemic risk-off, as

evidenced by the VIX falling -12.04% on the day to 18.92. The key question for the next 5-10 sessions is whether the June 16-17 FOMC meeting—the first under new Fed Chair Kevin Warsh—delivers hawkish guidance that triggers a second leg lower in tech, or whether stable inflation data allows a relief rally.

Upside Risks

- Fed surprise dovishness at June 16-17 FOMC: If Chair Warsh pushes back on rate-hike expectations and signals data dependency, the 72% probability of a hike priced by CME FedWatch would deflate rapidly, fuelling a sharp relief rally in rate-sensitive NDX names that have sold off 5-8% this week.
- Middle East ceasefire holding / Brent below \$100: A sustained drop in Brent crude below the \$100 threshold—described by analysts as 'the line that matters'—would cool inflation expectations, support Treasury prices, reduce the equity risk premium, and provide a significant catalyst for AI infrastructure spending acceleration.
- Q1 earnings momentum continuation: S&P 500 Q1 profits grew 28.6%—more than double the 13.1% expected—with FactSet reporting a record blended net profit margin of 14.8%; any positive pre-announcement from upcoming NDX reporters (ORCL Jun 10, ADBE Jun 11) could restore confidence in the earnings narrative and spark a sector-wide bounce.

Downside Risks

- Hawkish FOMC shock on June 17: If new Fed Chair Warsh's first dot-plot signals three or more hikes, or the statement removes the asymmetric bias toward easing, the already-thin equity risk premium (historically at its lowest in years) could trigger a correction in NDX growth stocks trading at 30-50x forward earnings.
- AI capex demand disappointment: The fresh pressure on AI stocks today reflects 'lingering skepticism that part of the rally for chips and datacenter producers may have been overblown'—any high-profile hyperscaler capex cut announcement or soft NDX tech earnings would validate this skepticism and could extend the 5-14% sector drawdowns already seen this week across AVGO, ANET, and WQTM.
- Treasury yield spike above 5%: The 10Y yield recently touched above 4.6%; Schwab's mid-year outlook explicitly states that 'a sustained 10-year yield approaching or exceeding 5% may raise correction risk,' and with Brent still above \$100 and payrolls running hot, a further yield spike remains the single most mechanical risk to current equity multiples.

SECTION 9 — Portfolio Allocation (5-8 Year Horizon)

With VIX at 18.92 (GREEN/calm), 9/11 sectors advancing, and the S&P 500 holding +2.7% above its 50-day average, the market environment is healthy enough to maintain a growth-tilted allocation—but the AMBER signal on the 10Y yield at 4.56% and a 72% probability of a Fed rate hike argue for meaningful fixed-income and defensive ballast to protect against sequence-of-returns risk as retirement approaches in 5-8 years. Vanguard's 2026 capital markets outlook projects the strongest risk-return profiles over the next 5-10 years in 'high-quality U.S. fixed income, U.S. value-oriented equities, and

non-U.S. developed markets equities'—a direct signal to reduce concentration in US growth/momentum and diversify into these identified opportunities.

Bucket	Allocation %	Purpose
US Large-Cap Quality Growth (AI + Tech)	28%	Core growth engine targeting 5-year compounding via secular AI and technology leaders with lower beta (GOOGL beta 1.31, MSFT beta 0.87). Provides capital appreciation runway. Deliberately underweight vs. prior cycle; avoid high-beta semis (MU beta 2.84, AMD beta 2.80) at current valuations.
US Value & Dividend Equities	17%	Capital preservation with income via dividend-paying blue-chips and value stocks benefiting from rate-hike environment (financials like C, healthcare). Reduces concentration risk in AI narratives and provides ballast during tech corrections. Morningstar and Vanguard both flag US value as top risk-return opportunity for 2026-2031.
Investment-Grade US Fixed Income (Short-to-Intermediate)	22%	Capital preservation and income with 4.56% 10Y yield offering attractive real returns for the first time in years. Focus on 2-7 year maturities to avoid duration risk from potential yield spike above 5%. Schwab flags investment-grade corporate bonds and preferred securities as 2026 income opportunities. Provides counter-cyclical protection if tech corrects.
TIPS / Inflation-Linked Bonds	8%	Hedge against sticky inflation with Brent above \$100 and core services inflation elevated. TIPS adjust principal with CPI, protecting purchasing power over a 5-8 year horizon. Particularly relevant given the Middle East energy risk that could keep oil prices elevated through 2026-2027.
International Developed Markets (ex-US)	12%	Geographic diversification away from US equity concentration and USD risk. Vanguard explicitly identifies non-US developed markets as one of the top 3 risk-return opportunities for the next decade. European and Japanese equities trade at significant valuation discounts to US equivalents, providing a margin of safety.
Real Assets (REITs + Infrastructure)	8%	Income generation and inflation protection via real asset exposure; Real Estate led today's session at +2.13%, validating the rotation narrative. Goldman Sachs flags 'private infrastructure has historically demonstrated resilience through economic cycles and delivers strong returns in inflationary periods.' REITs also benefit if rates stabilise or decline.
Cash & Short-Term Bonds (SGD/USD Money Market)	5%	Liquidity buffer covering approximately 12-18 months of living expenses to eliminate sequence-of-returns risk at retirement entry. In Singapore, SGD money markets currently offer competitive yields and provide natural currency hedge. Enables opportunistic redeployment into equities during corrections without forced selling of growth positions.

Rebalance Trigger: Initiate a defensive rebalancing—reducing US Large-Cap Growth by 5-8 percentage points and adding to Investment-Grade Fixed Income and Cash—if ANY TWO of the following conditions are met simultaneously: (1) VIX closes above 25 for two consecutive sessions; (2) the 10-year Treasury yield closes above 5.0%; (3) the S&P 500 (SPY) trades more

than 8% below its 50-day moving average; or (4) Fed Chair Warsh signals three or more rate hikes in the June 17 FOMC dot-plot. A single-condition breach warrants watchlist review but not immediate action.

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